Capital Goods

14 January 2026

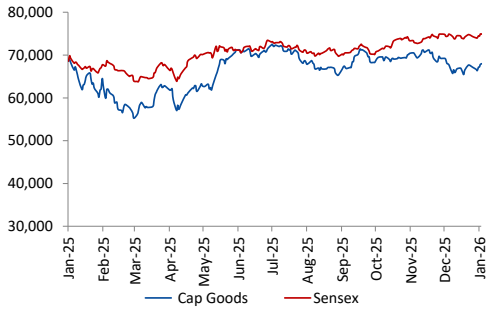
Défense expert session key highlights

We met a senior defense sector expert (~40 years of experience with BEL). The discussion focused primarily on BEL's prospects and its role in larger programs of the future with some insights on private sector participation and platform wise understanding of key variables. In addition, key gaps in the domestic defense manufacturing capabilities were highlighted. Below are the highlights:

EXPERT MEET TAKEAWAYS

Industry	Capital Goods

Sector Performance (1-year)



Source: Systematix Research

Key Order Inflow Visibility: Rs550bn over FY26- FY27

- QRSAM (lead integrator) – Rs300-Rs350bn
- Next gen Corvette (electronics systems supplier) - Rs120bn
- Dharashakti Electronic Warfare (EW) System – Rs65bn

QRSAM (Anant Shastra)

Quick Reaction Surface to Air Missile (QRSAM) is an indigenously developed short range (25-30km) surface to air missile (SAM) system developed by DRDO for Indian Army.

- It fills the gap between very short-range systems (Igla S MANPADS and L 70 guns) and medium/long range SAMs (like Akash and S-400), forming a layer in India's integrated air defense network.
- QRSAM missile development started ~12 years ago.
- BEL is the designated lead integrator or system integrator for the project.
- Total order value expected for BEL – Rs300-350bn (by Q4FY26 or Q1FY27). This is for the procurement of five to six regiments of QRSAM.
- Bharat Dynamics' share is 15% of the total order value.

Next gen Corvette (NGC) program

- The NGC program was approved by the Defense Acquisition Council (DAC) in June 2022.
- It envisages the acquisition of eight stealth multi-role corvettes based on an indigenous design.
- GRSE and Goa Shipyard are L1 and L2 in the tender floated for NGCs and the total order for 8 NGCs is expected to be Rs350bn.
- Out of this, BEL is expected to receive ~35% (~Rs120bn).

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Investors are advised to refer disclosures made at the end of the research report.

Dharashakti Electronic Warfare (EW) System

- Dharashakti is an integrated, indigenous electronic warfare system developed by DRDO for the Indian Army, meant to detect, jam, and disrupt enemy communications (COM) and non-communication (non-COM) signals on the battlefield.
- It is a family of EW systems comprising multiple entities (jammers, direction finders, interceptors) that can be deployed at different levels (battalion, brigade, division) to create an electronic shield and offensive EW capability.
- Shatrughat is the desert variant and Samaghat is the planes variant.
- Total order value expected – Rs65bn.
- DAC has accorded Acceptance of Necessity (AoN) for its induction.

Su-30 upgrade program

EW systems for Su-30 upgrade

- BEL is expected to receive the order for radar modification (Uttam radar possibly), jammer, digital receiver.
- Total potential order size from Su-30 EW systems – Rs150bn

Jaguar upgrade programme (DJAG)

EW systems for Jaguar upgrade

- Total potential order size from Jaguar EW systems – Rs60bn
- Potential timeline: The above two sets of EW orders for BEL is expected to be received in FY28.

KUSHA programme (Long range air defense)

- Long range (~400km) air defense system intended to replace or compliment S-400 and S-500 Russian air defense systems.
- The programme entered the development phase in 2025. It is being developed by DRDO with BEL as the development partner and the lead integrator for this project.
- Missile ranges - 150km, 250km, 400km, extended missiles
- First missile is tested for 150km recently
- It might take 4-5 years for BEL to receive commercial orders
- Potential order value – Rs350bn
- Potential timeline for BEL to receive KUSHA order: FY29

Software Defined Radios (SDRs)

- The Indian Army's Software Defined Radio (SDR) programme is a modernization initiative to replace legacy combat net radios with indigenous, multi-band, multi-waveform SDRs that support secure, high-data-rate, network-centric communications across all terrains.
- The SDRs are indigenously designed by DRDO with BEL as the production partner.
- There is a requirement of ~50,000 SDRs with each costing ~Rs6-7mn. Total order size ~Rs300-350bn.
- Along with BEL, there are two other vendors for the same – Alpha design – Elbit and Astra Rafael Comsys (ARC).

MRSAM (for Army and Air Force) and LRSAM for additional ships

- MRSAM is a land-based, medium range (70-100km) variant for Army/air Force.
- This is part of the same joint missile development between India and Israel as the Barak-8 variant LRSAM missile system.

Can private players scale up to develop systems and platforms?

- Private players have seen increased role as supply chain partners and component suppliers.
- No Cost No Commitment clause in defense procurement contracts restricts private participation.
- Significant gap in scale, infrastructure and experience makes DPSUs significantly more competitive than most private players (barring a few large ones which specialize in specific platforms).
- Many domestic start-ups have come up in the Unmanned Aerial Vehicle (UAV) space. However, these are largely for ISR applications and Combat drone capability is yet to evolve.

Missiles

- 10% of the revenue is shared with private sector suppliers (Tata Advanced Systems, L&T, Data Patterns, Astra Microwave)
- Missile programs – Akash, LRSAM, MRSAM, QRSAM. BEL is the lead integrator for LRSAM and MRSAM missile programs.
- DRDO was mandated to develop futuristic missiles ~20 years ago.
- LRSAM was developed by IAI Israel for the Indian Navy and is part of the Naval Barak-8 system. Total order for BEL was ~Rs180bn.
- MRSAM is a land-based, medium range (70-100km) variant for Army/air Force.
- Akash may see induction in 2-3 regiments going forward. However, vertical launch missiles and ballistic missiles could replace Akash missile system for future requirements.

- Other suppliers for Akash missile systems – Electronics Corporation of India for the command-and-control center, Tata Power SED and L&T for launchers, HAL for sub-systems.

Unmanned Aerial Vehicles

- Many Indian start-ups in the ISR segment of the UAV.
- Capability gaps exist in Combat drones within the domestic industry.
- Within drones, ammunition and software are key gap areas.

Exports prospects for Indian defense industry

- Most export contracts are G2G driven and buyers require line of credit.
- No meaningful improvement in defense exports is expected on a platform level.
- Brahmos and Pinaka are two products at par with global standards. Already exported Brahmos to Armenia.
- There is significant requirement for fulfilling shortage in domestic assets.

Other highlights

- Army induction of equipment and platforms has been slow in the last 10 years. Navy has been quick to induct.
- The K9 Vajra program has been delayed.
- There is significant focus on building naval strength. Significant capital defense budget has been allocated in the last three years to Navy.
- There are capacity constraints in domestic shipbuilding. The number of dry docks available with Shipyards limits the annual capacity to manufacture naval ships.
- BEL's share of the total order for ships/corvettes is ~30-35%.
- Electronic Warfare systems are very strategic and involvement of private is therefore restricted to a certain extent. The possibility of private players succeeding in this domain remains capped in the current policy regime.
- BEL's orderbook split: Navy (45-50%), Airforce (15%), Army (10%), Civil – 15%, rest – paramilitary, BSF, Coastguard etc.
- 20% of LCA Tejas cost is scope of BEL.
- BEL's material cost is ~55% of revenue, labor cost ~15% and corporate overheads ~15%. The amount of outsourcing has increased to 30-35% from 20-25% three years ago.

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